

Normally, 2:1 is considered as ideal current ratio; 1:1 is considered as ideal quick ratio. However, it is subject to change from business to business and industry to industry.

Illustration 2

Calculate quick ratio of Ananth Constructions Ltd from the information given below.

Particulars	₹
Total current liabilities	1,00,000
Total current assets	2,50,000
Inventories	50,000
Prepaid expenses	15,000

Solution

$$\text{Quick ratio} = \frac{\text{Quick assets}}{\text{Current liabilities}} = \frac{1,85,000}{1,00,000} = 1.85:1$$

Quick assets = Current assets – Inventories – Prepaid expenses
= 2,50,000 – 50,000 – 15,000
= ₹ 1,85,000

Illustration 3

Following is the balance sheet of Magesh Ltd. as on 31st March, 2019:

Particulars	₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
Equity share capital	2,00,000
2. Non-current liabilities	
Long term borrowings	50,000
3. Current liabilities	
(a) Short-term borrowings	17,000
(b) Trade payables	25,000
(c) Other current liabilities	
Expenses payable	3,000
(d) Short-term provisions	5,000
Total	**3,00,000**

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